



Customer Experience Assessment For MoneyLion

Identifying Key Drivers of CX Issues and Recommended Improvements

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URGENCY



Before MoneyLion can embark in business growth, it must address its Customer Experience challenges:

1

Despite customer acquisition increasing by 100%, customer churn rate increased for the 3rd straight quarter, now over 7%

2

Customer satisfaction scores dropped from "World Class" to "Excellent"

3

Negative app store reviews and social media complaints spiked by 20%

4

Increase in BBB complaints regarding banking services following improved fraud controls



Three-Pronged Approach

To mitigate further customer attrition, MoneyLion must prioritize customer retention, satisfaction, and engagement.



Analysis #1

Customer Reviews

Data analysis of 1,417 customer reviews of MoneyLion from three different platforms



Analysis #2

CX Benchmark

Industry CX standard for banking and fintech can provide insight



Analysis #3

Financial Implications

ROI analysis of retention efforts

01

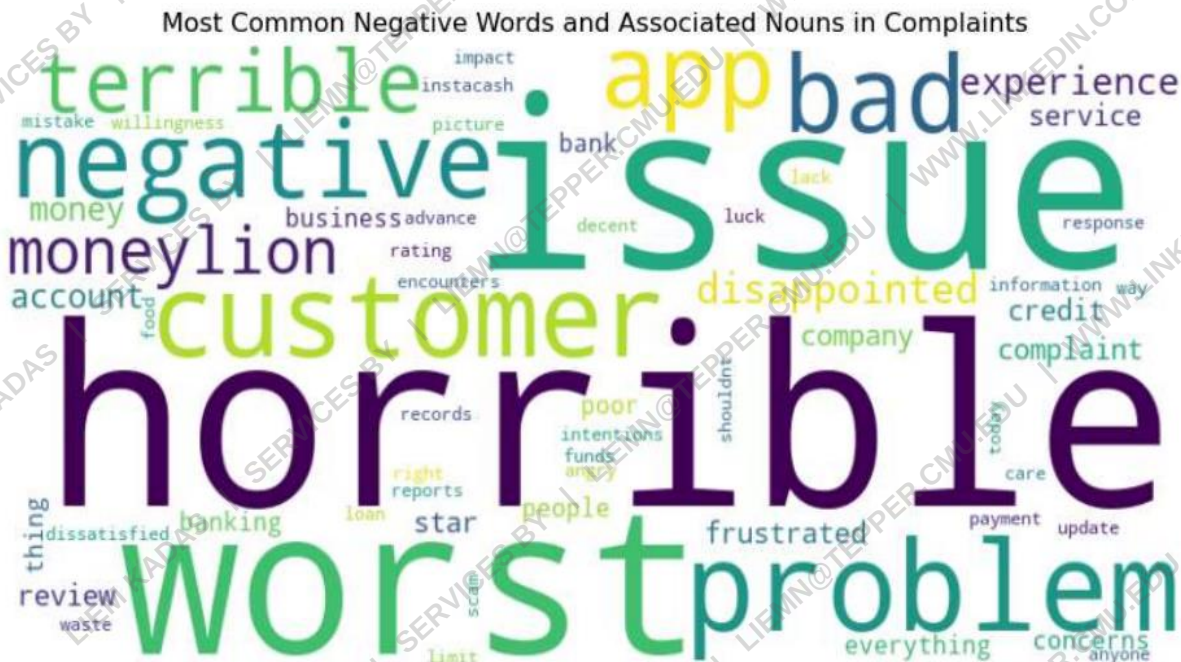
Customer Reviews

Recommendation Based on Reviews





Extracting the most pervasive negative words from 1,417 customer reviews will give us an initial glimpse on CX insights.



This Word Cloud was generated using Python I combined customer reviews from the three platforms below. Then, I extract all negative adjectives and their associated nouns. Word Clouds show which words are most pervasive.

- **Google App Platform**
Most recent reviews (n = 597)
- **Better Business Bureau**
All reviews between May 2023 – May 2024 (n = ~427)
- **Trustpilot**
All reviews between May 2023 – May 2024 (n = ~393)

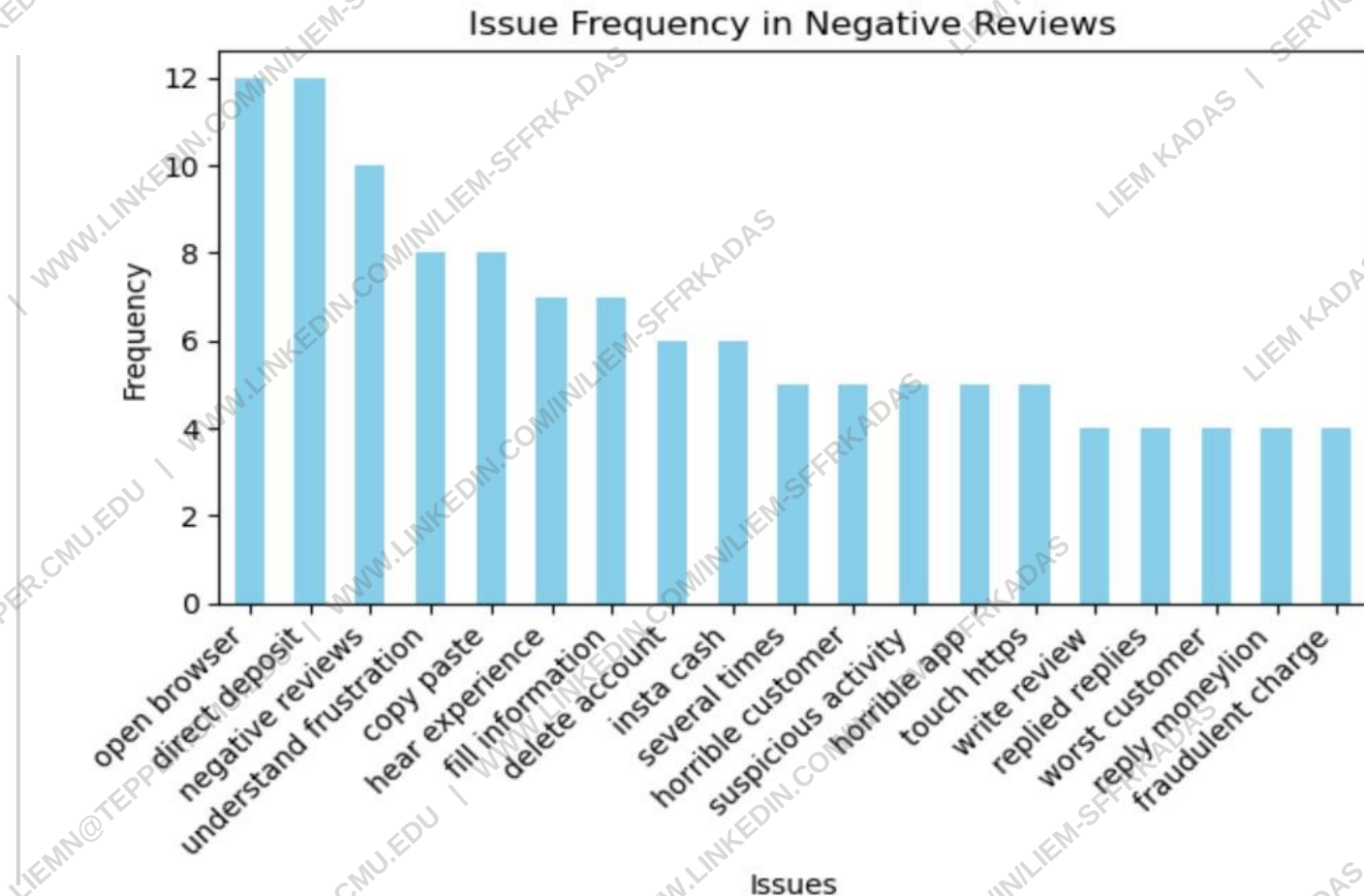
*Python script + data in the appendices (pg. 31)



Diving deeper, I isolated the negative reviews (n=124) with comments from the 1,417 total reviews and segment each into themed issues.

This Bar Graph was generated using Python

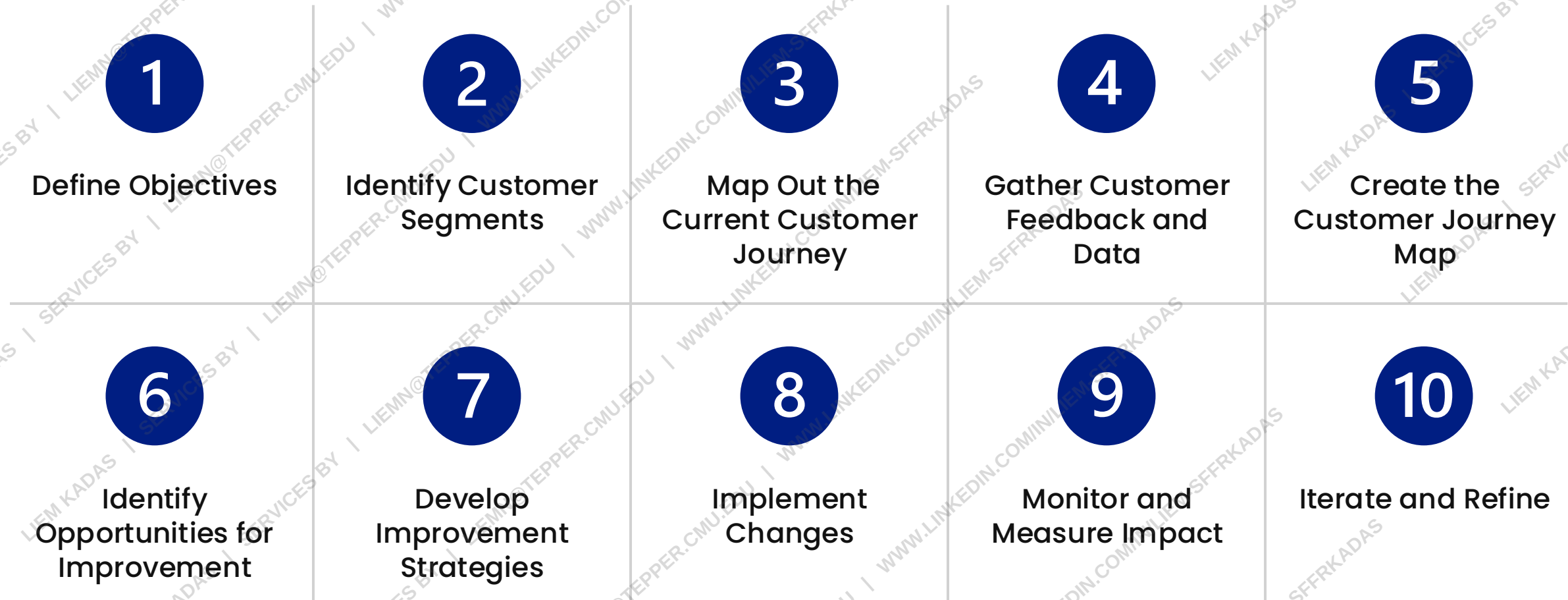
Themed issues reached into several facets of MoneyLion, including user and application experience, security, fund discrepancies, customer service, communication, and brand reputation.



*Python script + data in the appendices (pg.49)



Enhance Customer Experience with Journey Mapping: create a Customer Journey based on the most frequent issues. Illustrate the entire customer journey map when a customer interacts with these critical touchpoints.





Examples of using Journey Mapping based on the most frequent issues discovered during this case study.

4

Gather Customer Feedback and Data

Though I was able to scrape data from Google, Better Business Bureau, and Trustpilot's public platforms, this step could have been replicated using in-house data, such as Zendesk, other customer operation vendors, or data from MoneyLion's servers.

7

Develop Improvement Strategies

It is imperative that cross-team collaboration occurs between the Operations team and other departments to address frequent issues, such as app design, fund management, account accessibility, etc. This will ensure clear Service Level Agreement and increase customer satisfaction.

9

Monitor and Measure Impact

Once teams implement positive changes, it will be important see if MoneyLion's implementation decrease the number of frequent complaints. This is can be done with data analysis using the same methodology but at a future timeframe, i.e. monthly, quarterly, or annually. Compare and contrast datasets to monitor improvements.



02

CX Benchmark

Recommendation Based on Industry
Standards for banking and fintechs





MoneyLion should maintain + prioritize values of Security, Trust, Transparency, and Technology Adoption.

Security

- **Fraud Protection:** Fintechs like Biocatch leverage advanced technologies such as machine learning and behavioral biometrics to offer robust fraud protection and digital security solutions. Ensuring high security mitigates risks of fraudulent activities, thus protecting both the company and its customers.

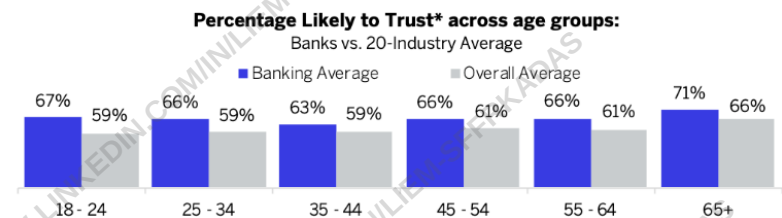
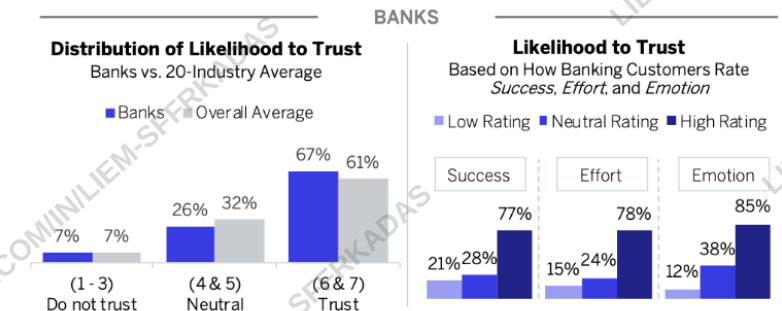
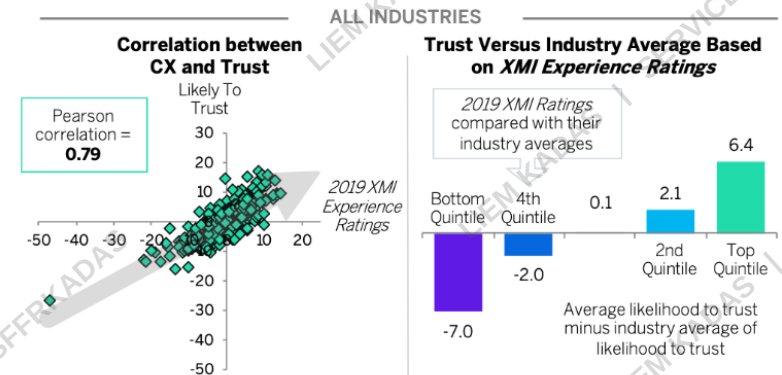
Trust

- **Customer Loyalty:** Trust is directly linked to customer loyalty. If customers trust a fintech company to safeguard their data and provide reliable services, they are more likely to continue using and recommending the service.

Transparency

- **User Confidence:** Transparency in operations and data handling practices fosters user confidence. Customers prefer companies that are clear about how their data is used and protected.

Connection between CX and Trust in the Banking Industry



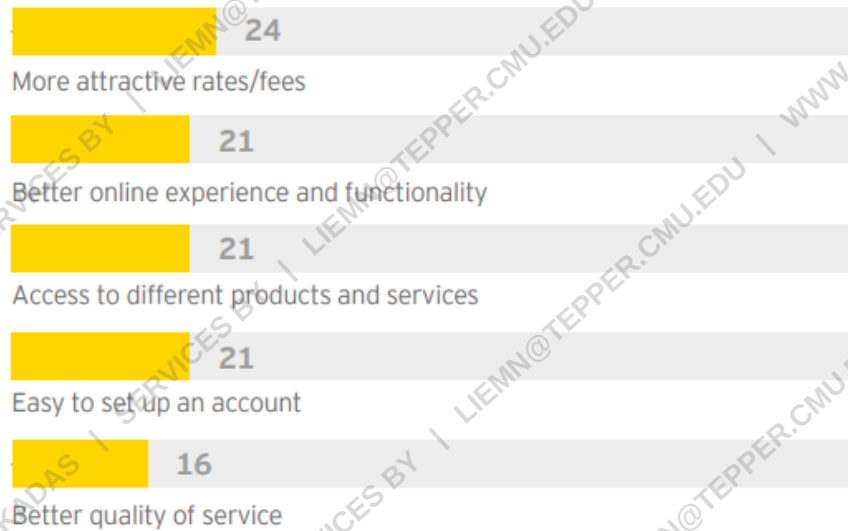
*Zdatny, Isabelle, Bruce Temkin, and Moira Dorsey. "Customer Experience in the Banking Industry." XM Institute, 15 Jan. 2020, www.xminstitute.com/research/2020-cx-banking-industry

*"What Determines FinTech Success?—A Taxonomy-Based Analysis of FinTech Success Factors." Journal of Business & Industrial Marketing, <https://link.springer.com/article/10.1007/s12525-023-00626-7>



Key Insights from EY Global Consumer Banking Survey of 55,000 Consumers: Top Priorities for FinTech Users.

Most important reasons to consider an online or a mobile nonbank provider (%)*



*Respondents could choose more than one option.

1. Focus on Improving Digital Experience

Excluding “More Attractive rates/fees”, the remaining four categories can be satisfied by ensuring customers can seamlessly navigate MoneyLion’s platform, increasing customer satisfaction and lifetime value.

2. Target Young Consumers

Nearly 40% of respondents and 52% of the most digitally savvy consumers are comfortable with online-only financial services providers. This is an upward trend for Gen Z and younger generations.

*Ernst & Young. *Innovate Like A FinTech*. Ernst & Young Global Limited, 2017.

03

Financial Implications

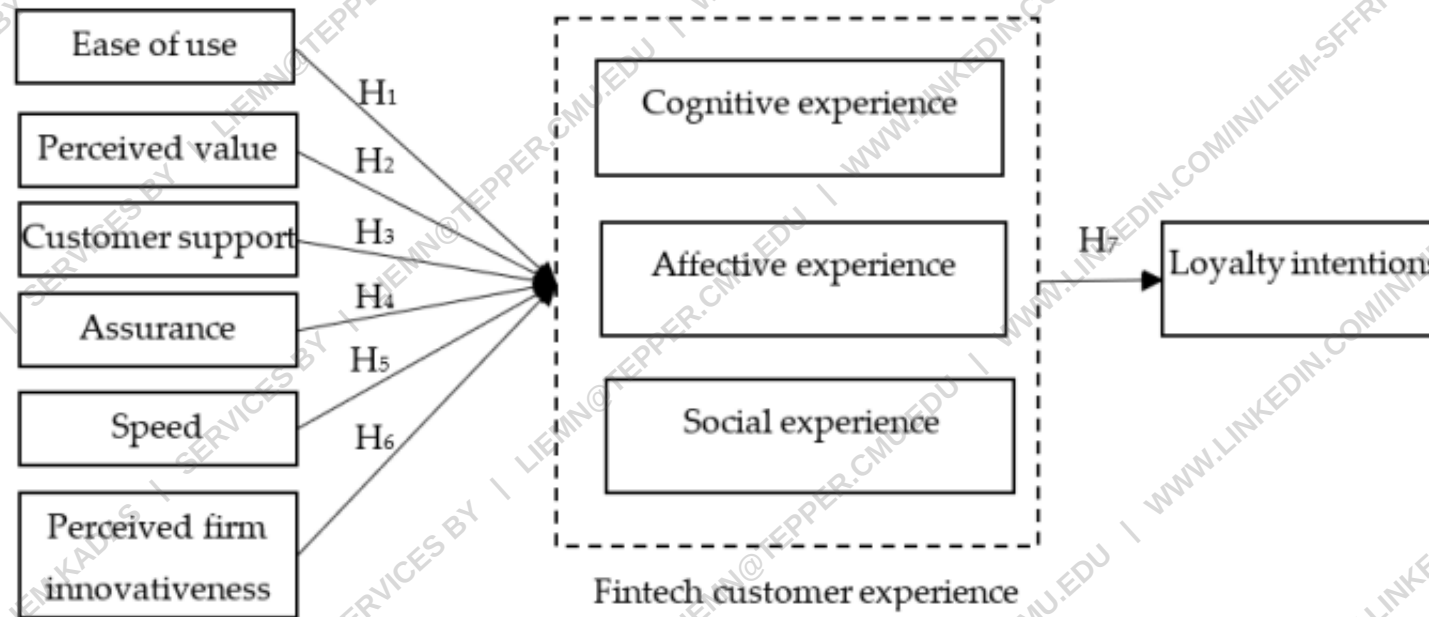
Recommendation Based on MoneyLion's
Full Year 2022 Report



Recommendation #3



A study, with a sample of 247 respondents, shows that a positive customer experience in fintech enhances customer lifetime value, upselling opportunities, and brand reputation by attracting and retaining the right customers.



Restructuring marketing and sales values at MoneyLion

Marketing and Sales team should have short and long term incentive to retain the right customers. This balance can increase Customer Life Value (CLV), maintain MoneyLion's overall positive brand, and will make the business thrive and sustainable in the long-run.

*Barbu, Cătălin Mihail, et al. "Customer Experience in Fintech." *Journal of Theoretical and Applied Electronic Commerce Research*, vol. 16, no. 5, 2021, pp. 1415-1433. MDPI, <https://doi.org/10.3390/jtaer16050080>.

Financial Analysis: ROI from Retention Efforts

Focusing on customer retention efforts can yield a substantial ROI, even with reduced subscription fees, significantly enhancing profitability and stability.

- Investing \$3 million in retention efforts can increase additional revenue by \$5.304 million, achieving an ROI of 76.80%.
- Improved retention reduces churn rate, stabilizes customer base, and fosters long-term customer loyalty, driving sustainable growth.

*MoneyLion Reports Record Fourth Quarter and Full Year 2022 Results, Reached Significant Profitability Milestone Exiting 2022." Business Wire, 14 Mar. 2023, www.businesswire.com/news/home/20230313005878/en/MoneyLion-Reports-Record-Fourth-Quarter-and-Full-Year-2022-Results-Reached-Significant-Profitability-Milestone-Exiting-2022

Current Financial Overview	
Metric	Value
Revenue (2022)	\$340.7 million
Customers	6.5 million
Churn Rate	7%
Marketing Expenses (2022)	\$37.2 million
Monthly Subscription Fee	\$29 (MoneyLion Plus), \$9.99 (WOW membership)
Customer Metrics	
Metric	Value
Monthly Subscription Fee	\$8 (members don't check in on weekends)
WOW Membership Fee	\$9.99
Assumed Mix of Subscribers	60% MoneyLion Plus, 20% WOW
Weighted Average Monthly ARPU	\$6.80
Annual ARPU	\$81.60
Retention Improvement	
Metric	Value
Cost of Retention Efforts	\$3 million annually
Reduction in Churn Rate	1% (from 7% to 6%)
Additional Retained Customers	65,000
Revenue from Retained Customers	
Metric	Value
Additional Revenue from Retained Customers	\$5.304 million
ROI Calculation	
Metric	Value
Net Gain from Investment	\$2.304 million
ROI	76.80%





Thank You

If you have any questions, comments, or concerns,
please reach out to me at liemn@tepper.cmu.edu

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